



CLARK SCHAEFER HACKETT
BUSINESS ADVISORS

Highland Computer Forms, Inc.

Financial Statements

December 31, 2021 and 2020

with Independent Accountants' Review Report

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INDEPENDENT ACCOUNTANTS' REVIEW REPORT

Stockholders
Highland Computer Forms, Inc.
Hillsboro, Ohio

We have reviewed the accompanying financial statements of Highland Computer Forms, Inc. which comprise the balance sheets as of December 31, 2021 and 2020, and the related statements of income, changes in stockholder's equity, and cash flows for the years then ended, and the related notes to the financial statements. A review includes primarily applying analytical procedures to management's financial data and making inquiries of company management. A review is substantially less in scope than an audit, the objective of which is the expression of an opinion regarding the financial statements as a whole. Accordingly, we do not express such an opinion.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of the financial statements that are free from material misstatement whether due to fraud or error.

Accountant's Responsibility

Our responsibility is to conduct the review engagements in accordance with Statements on Standards for Accounting and Review Services promulgated by the Accounting and Review Services Committee of the AICPA. Those standards require us to perform procedures to obtain limited assurance as a basis for reporting whether we are aware of any material modifications that should be made to the financial statements for them to be in accordance with accounting principles generally accepted in the United States of America. We believe that the results of our procedures provide a reasonable basis for our conclusion.

Accountant's Conclusion

Based on our reviews, we are not aware of any material modifications that should be made to the accompanying financial statements in order for them to be in conformity with accounting principles generally accepted in the United States of America.

We are required to be independent of Highland Computer Forms, Inc. and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements related to our review.

Clark, Schaefer, Hackett & Co.

Springfield, Ohio
February 25, 2022

Highland Computer Forms, Inc.
Balance Sheets
December 31, 2021 and 2020

Assets

	<u>2021</u>	<u>2020</u>
Current assets:		
Cash and cash equivalents	\$ 223,561	245,719
Accounts receivable, trade	1,138,864	864,632
Accounts receivable, other	1,545	2,919
Inventories	1,108,475	632,835
Employee retention credits receivable	1,352,277	-
Prepaid expenses	<u>4,863</u>	<u>4,523</u>
	<u>3,829,585</u>	<u>1,750,628</u>
Property, plant and equipment:		
Land	100,000	100,000
Buildings	500,000	500,000
Leasehold improvements	1,001,669	1,001,669
Machinery and equipment	6,638,006	6,483,888
Vehicles	127,387	324,668
Furniture, fixtures and office equipment	<u>209,970</u>	<u>200,911</u>
	8,577,032	8,611,136
Less accumulated depreciation	<u>6,381,778</u>	<u>6,310,027</u>
	<u>2,195,254</u>	<u>2,301,109</u>
Other assets:		
Cash value of life insurance	168,892	160,874
Deferred financing fees, net	20,806	41,613
Goodwill	10,000	10,000
Deposits	<u>9,913</u>	<u>8,488</u>
	<u>209,611</u>	<u>220,975</u>
	<u>\$ 6,234,450</u>	<u>4,272,712</u>

See independent accountants' review report and notes to financial statements.

Highland Computer Forms, Inc.
Balance Sheets (continued)
December 31, 2021 and 2020

Liabilities and Stockholder's Equity

	<u>2021</u>	<u>2020</u>
Current liabilities:		
Line of credit	\$ 548,922	-
Capital lease, current portion	8,154	7,668
Long-term debt, current portion	17,201	16,445
Paycheck Protection Program loan	688,137	862,310
Accounts payable, trade	643,491	758,383
Accrued payroll and related costs	346,244	221,770
Accrued rent, affiliates	140,500	143,000
Accrued taxes	41,624	47,321
Customer deposits	<u>73,860</u>	<u>-</u>
	<u>2,508,133</u>	<u>2,056,897</u>
Long-term debt:		
Note payable, affiliate	193,786	193,786
Line of credit	-	733,570
Capital lease, net of current portion	10,164	18,317
Long-term debt, net of current portion	<u>451,915</u>	<u>469,115</u>
	<u>655,865</u>	<u>1,414,788</u>
Stockholder's equity:		
Common stock, 500 shares authorized, 499 shares issued and outstanding	1,000	1,000
Additional paid-in capital	549,000	549,000
Retained earnings	<u>2,520,452</u>	<u>251,027</u>
	<u>3,070,452</u>	<u>801,027</u>
	<u>\$ 6,234,450</u>	<u>4,272,712</u>

See independent accountants' review report and notes to financial statements.

Highland Computer Forms, Inc.
Statements of Income
Years Ended December 31, 2021 and 2020

	<u>2021</u>	<u>2020</u>
Sales, net	\$ 10,887,150	10,159,980
Other income	<u>279,481</u>	<u>591,937</u>
Net revenue	11,166,631	10,751,917
Cost of goods sold	<u>9,333,986</u>	<u>9,089,958</u>
Gross profit	1,832,645	1,661,959
Operating expenses	<u>1,568,272</u>	<u>1,359,785</u>
Income from operations	<u>264,373</u>	<u>302,174</u>
Other income (expense):		
Interest expense	(88,472)	(137,472)
Debt forgiven	862,310	-
Employee retention credits	1,352,277	-
Gain on disposal of fixed assets	<u>1,500</u>	<u>-</u>
	<u>2,127,615</u>	<u>(137,472)</u>
Net income	\$ <u><u>2,391,988</u></u>	<u><u>164,702</u></u>

See independent accountants' review report and notes to financial statements.

Highland Computer Forms, Inc.
Statements of Changes in Stockholder's Equity
Years Ended December 31, 2021 and 2020

	Common Stock	Additional Paid-In Capital	Retained Earnings	Total
Balance, January 1, 2020	\$ 1,000	549,000	86,325	636,325
Net income	<u>-</u>	<u>-</u>	<u>164,702</u>	<u>164,702</u>
Balance, December 31, 2020	1,000	549,000	251,027	801,027
Distributions	-	-	(122,563)	(122,563)
Net income	<u>-</u>	<u>-</u>	<u>2,391,988</u>	<u>2,391,988</u>
Balance, December 31, 2021	\$ <u>1,000</u>	<u>549,000</u>	<u>2,520,452</u>	<u>3,070,452</u>

See independent accountants' review report and notes to financial statements.

Highland Computer Forms, Inc.
Statements of Cash Flows
Years Ended December 31, 2021 and 2020

	<u>2021</u>	<u>2020</u>
Cash flows from operating activities:		
Net income	\$ 2,391,988	164,702
Adjustments to reconcile net income to net cash used in operating activities:		
Depreciation and amortization	289,839	284,246
Provision for doubtful accounts	5,840	2,810
Gain on disposal of fixed assets	(1,500)	-
Debt forgiven	(862,310)	-
Employee retention credits	(1,352,277)	-
Change in cash value of life insurance	(8,018)	(7,808)
Effects of changes in assets and liabilities:		
Accounts receivable	(278,698)	165,215
Inventories	(475,640)	50,305
Prepaid expenses	(340)	2,629
Accounts payable	(114,892)	(1,134,287)
Accrued expenses	116,277	77,254
Customer deposits	73,860	-
Net cash used in operating activities	<u>(215,871)</u>	<u>(394,934)</u>
Cash flows from investing activities:		
Proceeds from sale of property and equipment	1,500	-
Purchase of property and equipment	(163,177)	(52,895)
Purchase of financing fees	-	(3,843)
Net change in deposits	<u>(1,425)</u>	<u>16,477</u>
Net cash used in investing activities	<u>(163,102)</u>	<u>(40,261)</u>
Cash flows from financing activities:		
Net payments on line of credit	(184,648)	(241,912)
Proceeds from PPP loan	688,137	862,310
Principal payments on long-term debt	(16,444)	(14,440)
Payments on capital lease obligations	(7,667)	(7,212)
Payments on notes payable, affiliates	-	(6,822)
Distributions	<u>(122,563)</u>	<u>-</u>
Net cash provided by financing activities	<u>356,815</u>	<u>591,924</u>
Increase in cash and cash equivalents	(22,158)	156,729
Cash and cash equivalents, beginning of year	<u>245,719</u>	<u>88,990</u>
Cash and cash equivalents, end of year	\$ <u><u>223,561</u></u>	<u><u>245,719</u></u>

See independent accountants' review report and notes to financial statements.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

The following accounting principles and practices of the Company are set forth to facilitate the understanding of data presented in the financial statements:

Company Activities

Highland Computer Forms, Inc. (Company) is a manufacturer of single and multiple part continuous computer paper and business forms. The Company operates manufacturing plants in Ohio and Indiana.

Use of Estimates

The preparation of these financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent liabilities at the date of the financial statements and reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Cash and Cash Equivalents

For purposes of the statements of cash flows, instruments that have an original maturity of three months or less are classified as cash equivalents. Cash paid for interest during 2021 and 2020 amounted to \$88,472 and \$133,222, respectively.

Accounts Receivable

The Company extends unsecured credit to its customers in the ordinary course of business but mitigates the associated credit risk by performing credit checks and actively pursuing past due accounts. All accounts are considered collectible at December 31, 2021 and 2020 and therefore an allowance for doubtful accounts was deemed unnecessary.

Inventories

Inventories of raw material and supplies are valued at the lower of net realizable value or cost as determined under the first-in, first-out method (FIFO). Production runs of the various forms produced by the Company are generally of short duration; therefore, the Company does not capture, or price, in-process inventories. Inventories of finished goods are valued at a fixed percentage of Company's current distributors' price by product. The Company's management is of the opinion that this method approximates the fully burdened cost of the inventory on a FIFO basis.

Goodwill

Goodwill is recognized for the excess of the purchase price over the fair value of tangible and identifiable intangible net assets of businesses acquired. Goodwill reflected on the balance sheets represents the cost of purchased goodwill related to the acquisition of Pummill Business Forms, Inc. in 2010. Generally accepted accounting principles require that the unamortized value of purchased goodwill be evaluated annually to determine whether the amount reported on the balance sheet as an asset has been impaired. In management's opinion, there has been no impairment to the value of recorded goodwill during the years ended December 31, 2021 and 2020.

Property, Plant, Equipment and Depreciation

Property and equipment are carried on the balance sheet at cost. Provisions for depreciation deducted in the statements of income were computed using the straight-line method. Routine maintenance and repairs and minor replacement costs are charged to expense as incurred. The undepreciated cost of equipment sold, net of related proceeds, is included in other income (expense).

Revenue Recognition

The Company derives its revenues primarily from the sale of computer forms and other paper products. Revenues are recognized when control of these products is transferred to its customers at a point in time, in an amount that reflects the consideration the Company expects to be entitled to in exchange for those products and services. Sales and other taxes the Company collects concurrent with revenue-producing activities are excluded from revenue. Shipping and handling fees charged to customers are reported within revenue. Incidental items that are immaterial in the context of the contract are recognized as expense. The Company does not have any significant financing components as payment is received at or shortly after the point of sale. Costs incurred to obtain a contract will be expensed as incurred when the amortization period is less than a year.

Income Taxes

The Company is not a taxpaying entity. The owners are liable for the tax relating to the operations of the entity. Accordingly, no provision for income taxes has been reflected in these financial statements.

Subsequent Events

The Company evaluate events and transactions occurring subsequent to the date of the financial statements for matters requiring recognition or disclosure in the financial statements. The accompanying financial statements consider events through February 25, 2022, the date on which the financial statements were available to be issued.

2. FAIR VALUE MEASUREMENTS:

The Company measured the cash surrender value of life insurance contracts at the reporting date using Level 2 measurements which include significant other observable inputs. Fair values for assets in Level 2 are calculated using quoted market prices for similar assets in markets that are not active. The fair value of the cash surrender value at December 31, 2021 and 2020 amounted to \$168,892 and \$160,874, respectively. There were no changes in the valuation techniques and no transfers between levels during 2021 and 2020.

3. INVENTORIES:

The following summarizes the Company's inventories at December 31:

	<u>2021</u>	<u>2020</u>
Raw Materials	\$ 861,275	313,580
Finished Goods	133,508	198,760
Other	<u>113,692</u>	<u>120,495</u>
	\$ <u>1,108,475</u>	<u>632,835</u>

4. LINE OF CREDIT:

On December 20, 2019, the Company obtained a revolving line of credit with a maximum borrowing limit of \$2,000,000 and is secured by virtually all Company assets. Interest on the credit line is payable monthly at LIBOR rate plus 6.00%. The line of credit is secured by virtually all Company assets and personal guaranties of the Company's stockholders. The line is due December 2022.

5. NOTES PAYABLE:

The Company's term debt outstanding at December 31 consisted of the following:

	<u>2021</u>	<u>2020</u>
\$500,000 note payable in monthly installments of \$3,163 including interest at 4.50% through December 2040. Secured by mortgage and a personal guarantee of the Company's stockholders.	\$ 469,116	485,560
Less current portion	<u>17,201</u>	<u>16,445</u>
Long term portion	\$ <u>451,915</u>	<u>469,115</u>

Principal payments for subsequent years are as follows:

2022	\$ 17,201
2023	17,991
2024	18,817
2025	19,682
2026	20,758
Thereafter	<u>374,667</u>
	\$ <u>469,116</u>

6. CAPITAL LEASES:

The Company leases equipment under various capital leases. Obligations under capital leases are collateralized by the leased equipment, which consist of equipment with a cost of \$38,879 and accumulated depreciation of \$20,087 at December 31, 2021.

The following is a schedule of future minimum lease payments as of December 31, 2021:

Year ending December 31, 2022	\$ 9,049
Year ending December 31, 2023	9,049
Year ending December 31, 2024	<u>1,509</u>
Total	19,607
Amounts representing interest	<u>(1,289)</u>
Present value of net minimum lease payments	18,318
Current portion	<u>(8,154)</u>
Long-term capital lease obligation	\$ <u>10,164</u>

Amortization expense for assets under capital lease is included in depreciation expense.

7. NOTE PAYABLE, AFFILIATE:

The Company has a note payable to an affiliated partnership through prior common ownership. The balance of the note arose through payments financed due to unpaid lease payments. The note bears no rate of interest, is unsecured and is due upon demand. Since no payments are expected within the next twelve months, the note balance has been presented as long term on the balance sheet. The balance on the note payable amounted to \$193,786 at December 31, 2021 and 2020.

8. PAYCHECK PROTECTION PROGRAM LOAN:

During 2021 and 2020, The Company received loans in the amount of \$688,137 and \$862,310, respectively, under the Paycheck Protection Program (PPP) administered by the Small Business Administration (SBA). The loans are uncollateralized and are fully guaranteed by the Federal government. The loans are due over a term of 24 months and bear interest at a rate of 1%. In accordance with provisions of the loans, amounts may be forgiven based upon certain criteria. As of the date of the financial statements the first loan in the amount of \$862,310 has been forgiven and is recorded as debt forgiven on the income statement. The amount of forgiveness of the second loan has yet to be determined and is recorded as a currently liability.

9. EMPLOYEE RETENTION CREDIT:

The Employee Retention Credit was established by the Coronavirus Aid, Relief and Economic Security (CARES) Act. The act was intended to help businesses retain their workforces and avoid layoffs during the coronavirus pandemic. It provides a per employee credit to eligible businesses based on a percentage of qualified wages and health insurance benefits paid to employees. It works as a refundable payroll tax credit claimed quarterly, and it can provide reductions to payroll taxes or cash refunds. The Company qualifies for the tax credit under the CARES Act and has recorded a credit receivable in the amount of \$1,352,277 as of December 31, 2021. The Company has filed the appropriate paperwork with the Internal Revenue Service and expects to receive the credit during the 2022 calendar year.

10. OPERATING LEASES:

The Company is obligated under an agreement to rent office space in Iowa from ND 25 W Park Building LLC. The lease is through June 2024 and provides for monthly rentals of \$1,273. Rent expense under the above leases amounted to \$33,229 and \$28,180 for 2021 and 2020, respectively.

Minimum lease payments for subsequent years are as follows:

2022	\$ 15,270
2023	15,270
2024	<u>7,635</u>
	\$ <u>38,175</u>

11. CASH VALUES OF LIFE INSURANCE:

The Company maintains key-man life insurance policies on certain officers and employees. Under key-man insurance, the Company pays the premiums and receives, upon termination of the policy or the death of the insured, the cash surrender value of the policy. The insured designates a beneficiary to receive the balance of the benefits paid.

12. RELATED PARTY TRANSACTIONS:

The Company is obligated under an agreement to lease a manufacturing facility and office space in Ohio from Fordyce Acquisition Group (owned by certain officers and employees of the Company). The lease is on a month to month basis and provides for monthly rentals of \$3,300. Accounts payable to Fordyce amounted to \$77,500 and \$80,000 for years ended December 31, 2021 and 2020, respectively. Rent expense under this lease amounted to \$39,600 for the years ended December 31, 2021 and 2020.

The Company is obligated under an agreement to lease a manufacturing facility and office space in Indiana from P&J Leasing, whose sole owner is a former shareholder of the Company. The lease is on a month to month basis and provides for monthly rentals of \$7,000. Accounts payable P&J Leasing amounted to \$63,000 for years ended December 31, 2021 and 2020. Rent expense under this lease amounted to \$84,000 for the years ended December 31, 2021 and 2020.

13. RETIREMENT PLAN:

The Company has a savings and retirement plan under Section 401(k) of the Internal Revenue Code. The plan allows employees to defer up to the maximum percentage of compensation and dollar amount permissible under section 402(g) of the IRC not to exceed the limits of code sections 401(k), 404 and 415. The Company, at management's discretion, may also contribute to the Plan. The total charge against income for the Company's discretionary contributions to the plan was \$61,129 and \$55,813 during 2021 and 2020 respectively.

14. CONCENTRATIONS:

The Company maintains its cash accounts in financial institutions where balances may have exceeded Federal Deposit Insurance Corporations (FDIC) limits at various times during the years ended December 31, 2021 and 2020. The Company has not experienced any losses on such accounts.

15. RISKS AND UNCERTANTIES:

The COVID-19 pandemic, whose effects first became known in January 2020, is having a broad and negative impact on commerce and financial markets around the world. The United States and global markets experienced significant declines in value resulting from uncertainty caused by the pandemic. The extent of the impact of COVID-19 on the Company's operational and financial performance will depend on certain developments, including the duration and spread of the outbreak and its impacts on the Company's customers, employees, and vendors, all of which at present, cannot be determined. Accordingly, the extent to which COVID-19 may impact the Company's financial position and changes in net assets and cash flows is uncertain and the accompanying financial statements include no adjustments relating to the effects of this pandemic.

16. BUSINESS PURCHASE AGREEMENT:

During 2021, the Company executed a business purchase agreement with The F.P. Horak Company (seller) to purchase certain business assets consisting mainly of a list of customers that purchase goods and services from the seller. In consideration for the purchased assets the Company shall pay earn-out payments to the seller consisting of 5% of the Company's gross sales made to the business customers for thirty-eight months initiating post-closing August 4, 2021. Earn out payments are recorded as a rebate at the time of sale. Total earn out payments recorded during 2021 amounted to \$9,210.

17. SUBSEQUENT EVENTS:

Subsequent to the date of the financial statements the Company executed a business purchase agreement with Dupli-Systems Inc. (seller) to purchase certain business assets consisting mainly of a list of customers that purchase goods and services from the seller. In consideration for the purchased assets the Company shall pay earn-out payments to the seller consisting of 9% of the Company's gross sales made to the business customers for thirty-six months initiating post-closing February 23, 2022.